IN THE SUPREME COURT OF ARKANSAS

SARAH SANDERS, in her official capacity as Governor of Arkansas, et al.

Appellants

v. **No. CV-24-199**

ARKANSAS BOARD OF CORRECTIONS, et al.

Appellees

On Appeal from the Circuit Court of Pulaski County, Eleventh Division

No. 60CV-23-9598 (Hon. Patricia James)

PETITION FOR REHEARING AND INCORPORATED BRIEF IN SUPPORT

During their appeal, Appellants moved to disqualify the Appellees' illegally retained counsel, Hall Booth Smith, P.C. ("HBS"), before this Court. The Court took that motion with the case. When addressing the motion in its opinion on the preliminary injunction, the Court noted that the circuit court had denied a different motion—one filed in the circuit court—to disqualify HBS as trial counsel. *Sanders v. Ark. Bd. of Corrs.*, 2025 Ark. 102, at 7. The Court also noted the Board's argument that an order denying a disqualification motion was not a final order. *Id.*

It then concluded that it lacked appellate jurisdiction to consider Appellants' motion to disqualify HBS as appellate counsel. *Id.*

But a motion to disqualify appellate counsel is not an appeal of an order denying a motion to disqualify trial counsel. Therefore, Appellants respectfully ask the Court to reconsider its ruling, which risks undermining the Court's inherent power to regulate the practice of law before it.

1. The Court's holding does not distinguish between a party filing an appellate motion and a party appealing an order denying a trial motion.

Appellants' motion to disqualify was aimed at disqualifying appellee's counsel on appeal. Yet the Court construed the motion as if it were requesting different relief: a review of the trial court's decision on disqualification before the trial court. Appellants moved in this Court to disqualify the Board's illegally retained appellate counsel from representing the Board before this Court. *See* Appellants' Mot. Disqualify 1 (Mar. 7, 2025) (moving to disqualify HBS "from further participation in proceedings before this Court"). Appellants did not appeal the circuit court's order denying the motion to disqualify the illegally retained trial counsel from representing the Board before the circuit court. Nor could they at this stage of the litigation. *See Clark v. Clark*, 319 Ark. 193, 197, 890 S.W.2d 267, 269 (1995).

Whenever attorneys appear before an appellate court, that court has "inherent power" to disqualify them from representing a party during the appeal "to preserve the integrity of the adversary process." *United States v. Prevezon Holdings Ltd.*, 839 F.3d 227, 241 (2d Cir. 2016); *see also In re Corn Derivatives Antitrust Litig.*, 748 F.2d 157, 160 (3d Cir. 1984); *Hempstead Video, Inc. v. Inc. Vill. of Valley Stream*, 409 F.3d 127, 132 (2d Cir. 2005). This is part and parcel of the Court's "inherent power" to regulate the practice of law. *See In re Shepard*, 2015 Ark. 93, at 5–6, 457 S.W.3d 280, 284 (explaining the Court's power even includes the authority to sanction counsel and control admission to the bar).

The Court's authority to determine if a lawyer properly appears before it is distinct from a circuit court's authority to determine if a lawyer is properly before the circuit court. That is why appellate courts rule on motions to disqualify appellate counsel, even when the trial court denied a nonfinal disqualification motion or when a disqualification motion was never filed below. *See, e.g.*, *Craig v. City of New York*, No. 24-1180-cv, 2025 WL 1604359, at *2 (2d Cir. June 6, 2025) (summary order) (ruling on motion to disqualify appellate counsel while explaining there was no appellate jurisdiction over the trial court's denial of the motion to disqualify trial counsel); *In re Corn*, 748 F.2d at 160 (explaining that a motion to disqualify appellate counsel "is properly before" the appellate court, regardless of what happened in the court below); *Dr. Falk Pharma GmbH v.*

GeneriCo, LLC, 916 F.3d 975, 980–81, 987 (4th Cir. 2019) (disqualifying three appellate counsel, even though no motion was filed below related to two counsel and a similar motion had been filed below for the third).

In short, Appellants' disqualification motion does not raise any appellate-jurisdiction issue because a disqualification motion before an appellate court addresses a distinct issue from a disqualification motion before the trial court. The Court therefore has inherent authority to rule on Appellants' motion to disqualify the Board's illegally retained appellate counsel and determine whether they were properly before this Court.

2. The Court's jurisdiction over the merits of the appeal or views about sovereign immunity do not limit its inherent authority to disqualify an appellate attorney.

The Court's "inherent powers," like the authority to disqualify, are "necessary to the exercise of all other[]" powers. *Roadway Express, Inc. v. Piper*, 447 U.S. 752, 764 (1980) (quoting *United States v. Hudson*, 7 Cranch 32, 34 (1812)). Thus, on "collateral," *Cooter & Gell v. Hartmarx Corp.*, 496 U.S. 384, 396 (1990), and "preliminary," *Chronister v. Baptist Health*, 442 F.3d 648, 651 (8th Cir. 2006), matters, the Court may exercise its inherent authority "even when [it] lack[s] subject matter jurisdiction to adjudicate the merits of a case." *Trackwell v. B&J P'ship*, No. 4:05-cv-3171, 2011 WL 41882, at *3 (D. Neb. Jan. 2, 2011)

(collecting cases from the U.S. Courts of Appeals); *see also Roberts v. Canadian Pac. Ry. Ltd.*, No. 06-cv-1960, 2007 WL 118901, at *2 (D. Minn. Jan. 2007) (explaining that a court's "inherent authority . . . exists irrespective of" subject-matter jurisdiction).

The inherent power to disqualify an appellate attorney is preliminary to the merits of the case. In fact, it goes to the heart of party representation: "the integrity of the adversary process." *Prevezon Holdings*, 839 F.3d at 241. Thus, it is "absolutely necessary" to confirm "the integrity of the attorney-client relationship." *Stuart v. Walther*, 2024 Ark. 41, at 8, 686 S.W.3d 486, 492 (citation omitted). Confirming a proper attorney-client relationship logically precedes the merits because a defective attorney-client relationship "calls into question the reliability of the proceeding and represents a breakdown in the adversarial process fundamental to our system of justice." *Rubin v. Gee*, 292 F.3d 396, 402 (4th Cir. 2002).

To protect the adversarial process, the Court should therefore exercise its inherent authority to disqualify the Board's improperly retained appellate counsel, regardless of the Court's jurisdiction over the appeal or views on sovereign immunity.

3. No factfinding is needed to address the disqualification motion.

The disqualification motion raises a pure question of law: Is the Board a "constitutional officer" under Arkansas Code Annotated § 25-16-711? There is no need for factfinding to answer that question. And even if the Court reaches Appellants' backup argument that there is no qualifying "disagreement" between the Board and the Attorney General under § 25-16-711, there are no disputed material facts.

4. The motion to disqualify is ripe for review.

Although the Board may urge the Court to modify the opinion to dismiss the motion as moot because the Court has already decided the preliminary-injunction issue, this Court should not do so. That is for two reasons. First, the motion is not moot because a ruling will have a "practical legal effect" on an "[]existing legal controversy." *Sanders*, 2025 Ark. 102, at 6. The Board's illegally retained counsel made multiple filings during this appeal (and will presumably file a response to this petition) for which counsel will seek payment, until this Court rules on whether counsel is illegally retained. Second, as explained, courts have authority to exercise their inherent powers over preliminary and collateral matters—like a motion to disqualify—whether or not the merits are live before the Court.

CONCLUSION

For these reasons, Appellants respectfully ask the Court to grant this petition for rehearing.

MEMORANDUM OF AUTHORITIES

Chronister v. Baptist Health, 442 F.3d 648 (8th Cir. 2006),
Clark v. Clark, 319 Ark. 193, 890 S.W.2d 267 (1995)
Craig v. City of New York, No. 24-1180-cv, 2025 WL 1604359 (2d Cir. June 6, 2025)
Cooter & Gell v. Hartmarx Corp., 496 U.S. 384 (1990)
Dr. Falk Pharma GmbH v. GeneriCo, LLC, 916 F.3d 975 (4th Cir. 2019)
Hempstead Video, Inc. v. Inc. Vill. of Valley Stream, 409 F.3d 127 (2d Cir. 2005)
In re Corn Derivatives Antitrust Litig., 748 F.2d 157 (3d Cir. 1984)
In re Shepard, 2015 Ark. 93, 457 S.W.3d 280
Sanders v. Ark. Bd. of Corrs., 2025 Ark. 102
Roadway Express, Inc. v. Piper, 447 U.S. 752 (1980)
Roberts v. Canadian Pac. Ry. Ltd., No. 06-cv-1960, 2007 WL 118901 (D. Minn. Jan. 2007)
Rubin v. Gee, 292 F.3d 396 (4th Cir. 2002).
Stuart v. Walther, 2024 Ark. 41, 686 S.W.3d 486
Trackwell v. B&J P'ship, No. 4:05-cv-3171, 2011 WL 41882 (D. Neb. Jan. 2, 2011)
United States v. Hudson, 7 Cranch 32 (1812)
United States v. Prevezon Holdings Ltd., 839 F.3d 227 (2d Cir. 2016)

Respectfully submitted,

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CERTIFICATE OF COMPLIANCE AND MERIT

I certify that this filing complies with Administrative Order No. 19 and that it conforms to the page limit in Rules 2-1(h) and 2-3(e). I further certify, in compliance with Rule 2-3(a), that this petition is meritorious and not filed for the purpose of delay.

/s/ Noah P. Watson
Noah P. Watson

CERTIFICATE OF SERVICE

I certify that on June 20, 2025, I electronically filed the foregoing document to the eFlex filing system, which notifies the eFlex participants.

/s/ Noah P. Watson
Noah P. Watson